a risk of 100 per cent and the loan to stock broker may be assigned a weight of 150 per cent. So, a loan of ₹1000 to the rice vendor will be considered as ₹1000 (100/100*1000=1000) but loan to the stock broker will be considered as ₹1500 (150/100*1000=1500). This is called risk weighted asset.

The capital is more or less fixed. If the capital to risk weight ratio is changed by RBI, only the asset has to be adjusted. That is the amount of loan has to be changed. So, credit can be controlled.

If the risk assigned to a particular sector is high, it will reach the ceiling with low amount of credit and vice versa. So, by varying the ceiling and Capital to Risk Weighted Asset Ratio (CRAR) the flow of credit can be controlled.

RBI uses this Capital to Risk Weighted Asset Ratio as norm to ensure that banks do not lend beyond their capacity. This ratio is fixed under the Basel norm. It is elaborated later.

CC.2.4. Direct Action

In this case, the Central bank issues certain policy decisions from time to time based on the prevailing situation in the economy. For example, the Central Bank may require scheduled banks to send proposals for loans beyond a certain amount to be scrutinised by the Central Bank. This has to be followed by the scheduled banks.

CC.2.5. Moral Suasion

Moral suasion refers to methods of persuasion, methods of request, methods of informal suggestion and methods of advice to commercial banks, about dos and don'ts by calling a meeting. The banks are morally bound to follow this but it is not mandatory.

CC.2.6. Publicity